Cast Study

Omnino Solutions has been retained ABC Life Insurance Company (ABCLI) to build a tablet / mobile based app to for its bancassurance sales team, using which sales team can sell insurance policies to its prospects, who are customers of the bank.

Key Terms

1. **Life Insurance:** Covers life of an individual and provides various financial benefits in case of death of the insured during the term of the policy or maturity of policy, depending on the terms of the policy.

2. **Health Insurance:** Covers individuals and provides financial benefit to cover for the expenses incurred in medical treatments of individuals.

3. **Non Life Insurance**: Covers various non living assets / events and provides financial benefit compensating financial loss incurred on account of damage to the assets or undesired outcome of the event. Examples: Motor Insurance, Travel Insurance, Fire Insurance, Property Insurance, Marine / Cargo Insurance, etc.

4. **Term / Traditional / ULIP Insurance Plan / Policies:** Type of policies / plans issued by a life insurance company.

5. **Key Policy Terms:**
    a. **Face Value:** Insurance Coverage Amount i.e. amount payable by the insurance company in case of adverse events as per the terms of the insurance policy.
    b. **Premium:** Amount paid by the customer to obtain life / non life / health insurance
    c. **Insured:** An individual (in case of life and health insurance) or an asset (in case of non life) covered under insurance.
    d. **Policy Owner:** An individual who pays the premium. Policy is issued to the owner. Owner and Insured can be different in case of life and health insurance. Owner and Insured are always different in case of non life insurance.
    e. **Policy Term:** The period for which insured is covered.
    f. **Premium Payment Term:** The period for which customer pays the premium. Such period can be equal to or less than premium payment term.
    g. **Main Coverage:** Primary cover of the insurance policy.
    h. **Riders:** Instruments to customize insurance policy. For example: Term Rider, Critical Illness Riders in case of Life Insurance Policy.
    i. **Top-up:** Additional insurance cover over and above main or base overage.

6. **Application Form / Proposal:** A document capturing details of customer and insurance plan. Information provided in the application form / proposal is processed by insurance company and then insurance policy is issued / rejected.

7. **KYC:** Know Your Customer requirement to establish identify of the customers. Identity proof and Address proof are used to establish unique identity of the customer.

8. **Illustration:** Life insurance illustration refers to the document that contains comprehensive information about a life insurance policy. Information includes the coverage, benefits, premium payment scheme, and growth of investments. The illustration is not to be confused with the actual policy itself.

9. **Policy Document:** Is a contract of insurance between the insurance company and the policyholder containing the key features, terms and conditions.

10. **Distribution Channels:** Various channels through which insurance policies are sold to the customers. Examples of Insurance Company's distribution channels are:
    a. Agency: explained below
    b. Bancassurance: explained below
    c. Third Party Brokers: Typically corporate financial services companies engaged in sale multiple financial products including insurance.
    d. Direct Sales: Primarily telemarketing channel, where call center based telemarketing agents sell policies to the potential customers.
    e. Online Sales: Sale through company's website
    f. Web Aggregators: Web based portals listing insurance products of multiple insurance companies and generating leads.

11. **Agency:** Agency is a sales channel, where company sales insurance policies through its own branches. Every branch has an agency manager, who appoints Insurance ***Agents***, who sell insurance policies on commission basis.

12. **Bancassurance:** Selling of policies of the insurance companies through bank branches or other channels of sales of the banks to the customers of the banks. Sales and Distribution channel engaged in such sale is called ***Bancassurance Channel***.

13. **Business Development Managers (BDM/s):** Sales team members of the Bancassurance channel on the ground of the Insurance Company. BDM work with personnel in the banks. They get the leads (prospects) from the bank staff. They understand the requirements of the prospects, explain and sell insurance policies to them and complete new business applications or proposals.

14. **Actuary:** An insurance industry professional responsible for product pricing, reinsurance and valuation. ***Appointed Actuary*** is responsible for financial stability of the insurance company and also reports to the regulatory authority.

15. **Reinsurance:** Is an instrument of Risk management used by an Insurance Company, where in it insures its own insurance risk with a reinsurance company.

16. **Valuation:** An estimate of the future assets and liabilities of the company performed by the actuaries of the life insurance company.

17. **Underwriting / Underwriter:** An insurance industry professional who determines whether to provide insurance cover to an applicant based on medical and financial analysis of the applicant.

18. Key Processes in Life Insurance Company
    a. **Sales & Distribution:** Process involving sale and distribution of insurance policy to the customer.
    b. **New Business & Underwriting:** Process involving obtaining new business application / proposal form along with KYC & supporting documents, underwriting of the application/ proposal, and policy issuance.
    c. **Policy Servicing:** Servicing the customer's requests during the terms of the policy.
    d. **Claims Settlement:** Processing claims made by the customers.

19. **Requirements:** Request for additional documents demanded by the insurance company from the customer during new business & underwriting, policy servicing and claims settlement processes in case incomplete documents are submitted by the customer or in case of non-standard process.

20. **Turn Around Time (TAT):** Time taken by a process or a sub-process or an activity or a task from start to end.

About ABC Life Insurance Company

ABC Life Insurance company was established in the year 2015 by 2 leading Indian banks; **Bank A** and **Bank B** along with world's leading MNC life insurance company **C Life Insurance**.

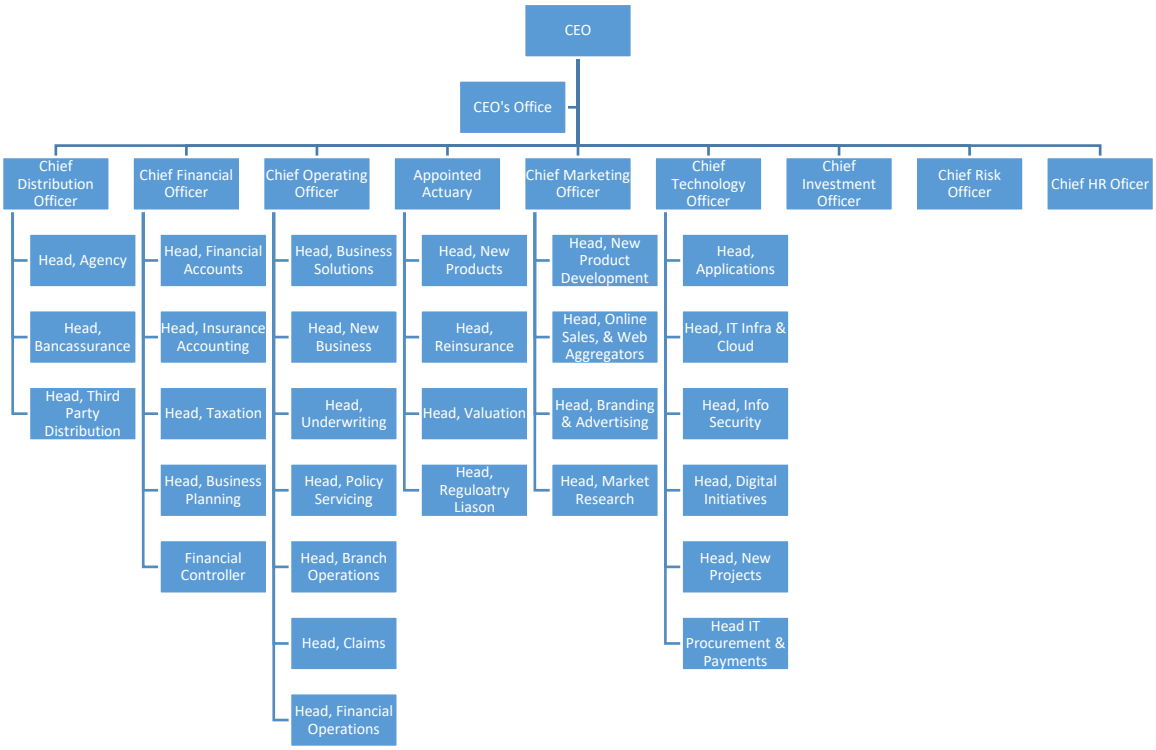
ABC Life is headquartered in Mumbai and sells policies through Bancassurance, Agency, Third Party Brokers, Web Aggregators, Online Sales and Direct Sales channels. Bancassurance contributes about 80% of the sales, Agency about 10% and rest of the 10% sale comes from other channels. In the FY 2020-21, company earned New Business Premium of Rs 1,800 crores.

Company has 150 branches predominantly in Metros and Grad A cities of India. These branches are engaged in Sales & Distribution activities. They also are first point of service for customers for Premium Payment, Policy Servicing and Claims. Some Bank branches too have Insurance Service Desk managed by insurance company's outsourcing agency "Saksham BPO", which receive these service requests and forwards them to the company's back office.

Company's back office is located in Mumbai and has centralized operations. Company has multiple channels of service. They include: Bank Branches, Company's branches, Call Center, Customer Portal, etc.

Company has undertaken a huge Digital Transformation initiative **"Parivartan"** to transform all customer facing processes and related back-office processes, so as to offer complete paperless experience to its customers and also serving them efficiently and fast. Tablet / mobile based app called **"MITRA" (Mobile Interface for TRAnsformation)** to for its bancassurance sales team is a key initiative of the **"Parivartan"** programme.

Company's Org Structure and Departments



Key Details of New Business Process at ABC Life Insurance Company

ABC Life offers ULIP and Term Insurance products which are sold through distribution channels stated above.

Company's both bank promoters have about 1500 branches. From Insurance sales perspective bank branches have been classified into following categories:

Category A: 300 branches which contribute for about 60% of new business premium income. Each such branch has company's at least 1 Business Development Manager associated who along with the bank branch manager & other executives identifies and sells insurance policies to bank customers. In some cases, there 2 BDMs associated with the branches. Total BDMs associated with the branches are 450.

Category B: 450 branches which contribute for about 30% of the sales. The role of the BDMs remains a above. However in case of these branches, BDMs have to manage upto 2-3 branches. Total BDMs catering to these branches are are 300.

Category C: 750 branches which contribute for about 10% sales. Sales to these branches takes place through a combination of BDMs as well as tele sales executives sitting at the corporate office the companies. BDMs catering these branches are about 250.

Company has its own 150 branches spread across all over India through which Agency channel sources its policies.

Company's current process is completely manual where BDMs carry a laptop, generate illustrations from a web based applications. They also carry a printed form, which is then filled up by the customer. The company wants to transform current paper based manual New Business Process into digitally enabled process.

Key Stages in Company's Sales, New Business & Underwriting Processes for Bancassurance Channel:

1. Sales: Involves
    a. Need Analysis to understand customer's financial goals,
    b. Explaining various insurance plans,
    c. Generating illustrations,
    d. Filling up application form,
    e. Collecting KYC & supporting documents,
    f. Collecting premium deposit slip,
    g. Depositing premium deposit slip in the bank branch,

h. Submitting physical documents either company's branch if there is branch in the location of the BDM or in the bank branch or at the outsourcing company's (Saksham BPO) collection point.

2. New Business Processing by Saksham BPO: Involves
    a. Scanning of new business applications by Saksham BPO,
    b. Uploading scanned documents on BPO company's servers,
    c. Data Entry of New Business Applications in the Insurance Company provided system

3. New Business Processing by Insurance Company: Involves
    a. Scrutiny of New Business Applications and Data Entered,
    b. Requirement Generation,
    c. Upload of Data into Core Insurance System,
    d. Straight Through Processing through Auto Underwriting System,
    e. Medical Underwriting wherever required,
    f. Pre-policy issuance Scrutiny, Policy Issuance,
    g. Generation of data dump for policy printing

4. Policy Printing & Despatch by "Shree Printers": Involves
    a. Printing of policy document ,
    b. Assembly policy kit for the customer,
    c. Dispatch of the policy through courier,
    d. Obtaining courier details and uploading them in ABC Life Insurance Company's system.

Informal Opinions of CEO and his team about MITRA Project

CEO:	Both Parivartan and MITRA are necessary to achieve company's growth plan and upcoming IPO
Chief Distribution Officer:	In agreement with the CEO. Knows this initiative may cause some dip in his revenues till the bancassurance sales team gets used to the new way of working. Not sure whether MITRA could be implemented in Agency channel successfully.
Head, Agency:	Relieved that MITRA will not be implemented for Agency channel for another 18-24 months. Currently is indifferent this initiative.
Head, Bancassurance:	Is extremely worried about the resistance that he is going face from team. Also worried about the dip in the revenues due to initial teething issues and change in the current way of working.
Head, Third Party Distribution:	Doesn't seem to be care about the project as it is likely to be rolled out last for her team.
Chief Financial Officer:	Priority for the CFO is IPO and profitability of the company. Parivartan and MITRA are multi year projects with large budgets. Is worried abt company's track record to implement and manage large strategic initiatives within given time and approved budget.
Chief Operating Officer:	Hopes that new way of working will help in improving customer service. Is a big supporter of Parivartan. COO also chairs the Steering Committee for Parivartan.
Operations Team Department Heads:	Are aware of the benefits that their respective team will gain out of the initiative.
Appointed Actuary:	Appointed actuary is focused on IPO and New Regulations on ULIP. This will keep him focused for next 18-24 months.
Chief Marketing Officer:	Chief Marketing officer has delegated most of the work to his Branding & Advertising head. His hands are full with New Product Launches and new regulations impacting existing product.
Chief Technology Officer:	Thrilled that Digital Initiatives are going to be driven by him and that CEO trusts to be his Chief Digital Officer as well.

Head, Digital Initiatives:	She was hired just 4 months back to drive Parivartan and MITRA project. She is going to be the Programme Manager for the entire initiative. This will be one of the most important initiatives of her career. One of her concerns is that she may not execution team directly reporting to her.
Head New Projects:	He thinks that all the hard work will be done by his team and the credit for the initiative will be taken by his new colleague responsible for Digital Initiatives. He regrets that company has hired a new person to drive Digital initiatives.
Head, Applications:	This is his complaint all along. Projects are implemented hurriedly. When systems come in his lap for production support, they are unstable. He never gets credit for smooth running of the systems.
Head, IT Infra & Cloud:	He is happy that his responsibilities and budgets have gone up.
Head, Info Security:	He thinks nobody gives SXXT till major info sec incident happens. He is unhappy about the way right from the board to the Project Managers think about Info Security. He wonders if Parivartan and MITRA are going to be any different.
Chief Investment Officer:	Is concerned about overall economy and market conditions. He wonders if she would be able to give better returns to his policy holders compared to last year.
Chief Risk Officer:	Knows digital initiatives means more risks. But he is worried about the skepticism of his partner, Head, Info Security.
Chief HR Officer:	Is currently busy with huge employee turnover and huge TATs in hiring new talent. His focus area currently is retention strategy.